CISCO SYSTEMS, INC. / Splunk Inc.

M&A Committee Memo · CSCO acquires SPLK · Educational reconstruction · August 08, 2026

Cash & Stock Merger

Headline terms	
Cash per share	$157.00
Stock per share (value)	$0.00
Total per share	$157.00
Implied premium	31.3%
Equity purchase price	$26 bn

Educational reconstruction from public SEC filings. Not investment advice. Synergy figures are our own labeled assumptions (a base and a conservative case), not forecasts; the proxy discloses no quantified synergy run-rate. This memo passes no verdict on whether the transaction should occur and implies no endorsement by the SEC, the named companies, or their financial advisors.

Data source: SEC EDGAR (public domain). Analyst: William Mar (independent educational project). USD in millions unless noted.

1. Deal Overview & Timeline

On September 21, 2023, Cisco Systems (NASDAQ: CSCO) agreed to acquire Splunk (NASDAQ: SPLK) in an all-cash transaction. Per the merger agreement disclosed in Splunk's definitive proxy (DEFM14A, SEC accession 0001140361-23-050211), each Splunk share converts into $157.00 in cash — no stock component. On the September 20, 2023 unaffected date that price represented roughly a 31% premium to Splunk's $119.59 close, an aggregate equity purchase price near $26.5 billion. The transaction closed on March 18, 2024 after regulatory clearances. This memo reconstructs the economics of that transaction from the public filings and is an educational exercise, not investment advice.

Consideration & deal terms

Per-share consideration	Value
Cash per share	$157.00
Exchange ratio (acquirer shares / target share)	0.0000
Stock leg value per share	$0.00
Total implied per share	**$157.00**
Implied premium (unaffected)	31.3%
Target shares outstanding	168.5M
New acquirer shares issued	0.0M
Aggregate cash	$26,460 mm
Aggregate stock value	$0 mm
Equity purchase price	**$26,460 mm**

Disclosed terms are sourced to the merger proxy / deal 8-Ks (accession + section stamped in DealTerms); aggregate figures are the engine's gross-up. USD in millions unless per-share.

2. Strategic Rationale

As disclosed in the proxy and joint communications, the strategic logic is to combine Cisco's networking and security franchise with Splunk's security-analytics and observability platform — extending Cisco into AI-era security and full-stack observability across a large installed base. Our commentary (our view, not a disclosed fact): this is a growth and capability acquisition, not a cost-synergy story. Cisco is paying a premium for a fast-growing, still-unprofitable software asset to buy a position it would be slow to build organically. That framing matters for the accretion analysis below: the price is underwritten by revenue opportunity and strategic fit, and — unusually — by an explicit bet that Splunk's margins inflect toward mature-software profitability over time. It is emphatically not underwritten by near-term earnings arithmetic.

Contribution vs. pro forma ownership

Contribution (USD mm)	CSCO	SPLK
Revenue	59,278	4,202
EBITDA	17,191	336
Net income	12,945	70
Pro forma ownership	**100.0%**	**0.0%**

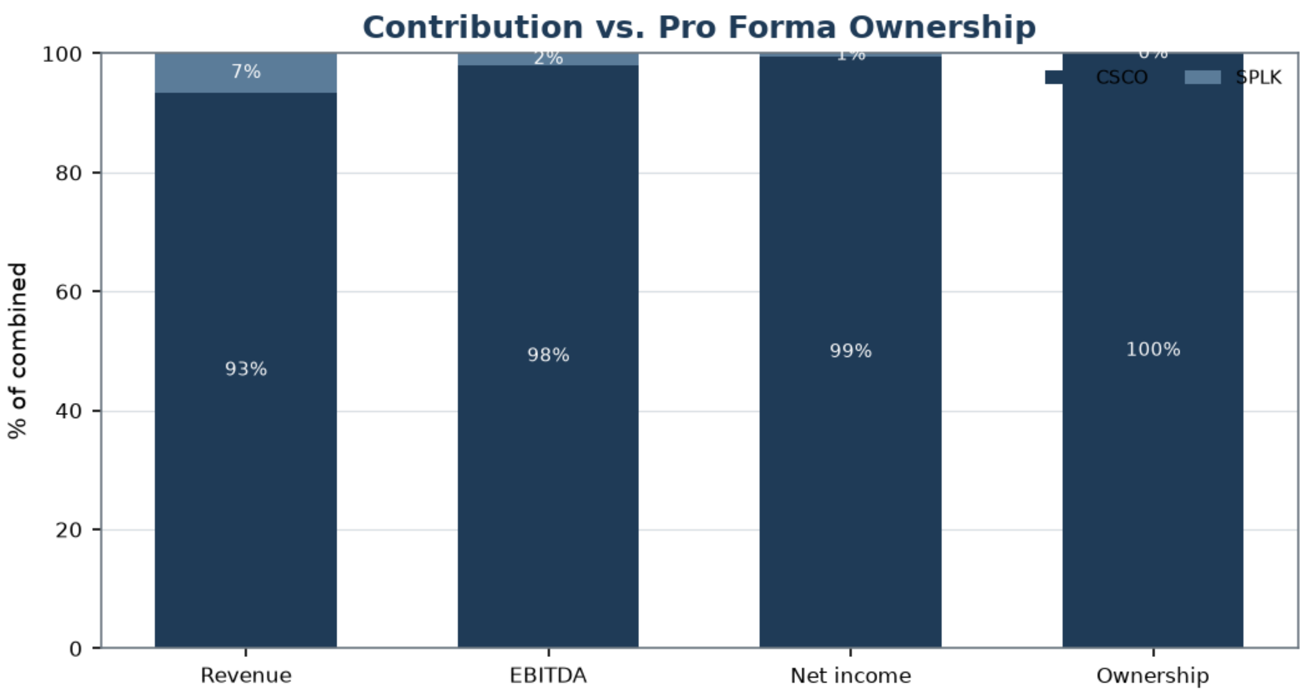

Figure 1. Each party's contribution to combined revenue, EBITDA and net income versus its pro forma ownership of the combined entity. Source: combination engine (primary synergy case).

3. Target Valuation

We value Splunk on a standalone basis and frame it against the $157.00 offered price. Our own discounted-cash-flow model (our assumptions: ~10.3% WACC — a higher-beta growth-software rate than a mature name would carry, and Splunk holds essentially no debt so the rate is close to its cost of equity — 3.0% terminal growth, with a 22x exit-EBITDA cross-check) is deliberately a stress case: Splunk is only barely profitable at our base year, so the Gordon-growth version implies a value well below the offer while the exit-multiple version lands much closer. We report that spread honestly rather than tuning it away — a low-margin, high-growth target is exactly where a single-point DCF is least informative and a multiple cross-check earns its keep. The gap to the offer is the point: it quantifies how much of the price is premium for control, future margin expansion, and strategic fit rather than Splunk's current standalone cash flows.

Standalone DCF vs. offer

Our standalone ANSYS DCF	Value
WACC	10.3%
Enterprise value (Gordon)	$9,731 mm
Net cash / (debt)	net cash $1,231.3 mm
Equity value (Gordon)	$10,962 mm
Implied price — Gordon	**$67.51**
Implied price — exit multiple	**$153.55**
Offered consideration / share	**$157.00**

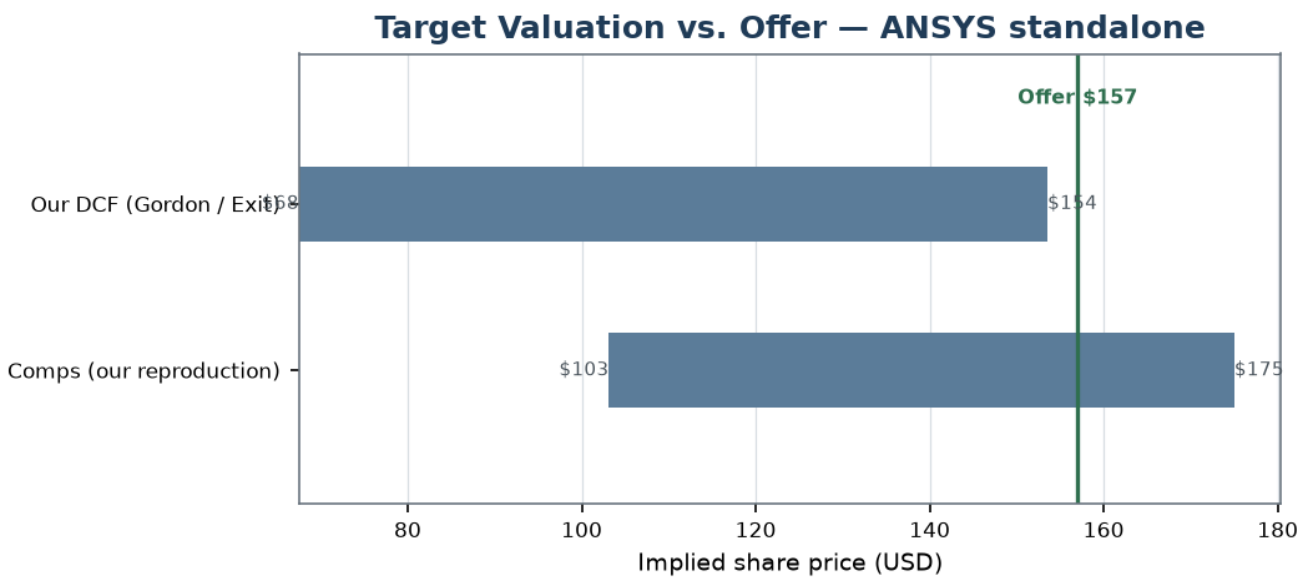

Figure 2. Standalone valuation ranges (our DCF; comps reproduced from the advisor's disclosed multiples) framed against the offered per-share consideration. The gap to the offer quantifies the control / synergy / strategic premium. Source: valuation engine.

Precedent transactions

Transaction	Date	EV ($bn)	EV/Rev	EV/EBITDA
Broadcom / VMware	2023-11-22	69.0	7.4x	20.6x
Adobe / Figma	2022-09-15	20.0	50.0x	—
Elon Musk / investors / Twitter	2022-10-27	44.0	7.3x	—
Microsoft / Activision Blizzard	2022-01-18	68.7	7.9x	18.9x
Qualtrics / Silver Lake/CPPIB	2023-04-27	12.5	7.0x	—
Thoma Bravo / Proofpoint	2021-04-15	12.3	10.9x	—
Salesforce / Slack	2020-12-01	27.7	26.0x	—
Google / Mandiant	2022-03-08	5.4	9.0x	—
Microsoft / LinkedIn	2016-06-13	26.2	7.2x	24.0x

Sources (curated, cited):

- Broadcom / VMware: Broadcom/VMware DEFM14A & press release, announced 2022-05-26, closed 2023-11-22; EV ~$69B incl. debt
- Adobe / Figma: Adobe/Figma press release 2022-09-15 (deal later terminated 2023-12); ~$20B, ~50x ARR
- Elon Musk / investors / Twitter: Twitter merger proxy 2022; $54.20/share, ~$44B EV
- Microsoft / Activision Blizzard: Microsoft/Activision DEFM14A, $95.00/share, ~$68.7B EV, closed 2023-10
- Qualtrics / Silver Lake/CPPIB: Qualtrics take-private DEFM14A 2023; $18.15/share, ~$12.5B EV
- Thoma Bravo / Proofpoint: Proofpoint DEFM14A 2021; $176.00/share, ~$12.3B EV
- Salesforce / Slack: Salesforce/Slack S-4 2020-2021; ~$27.7B, ~26x revenue
- Google / Mandiant: Google/Mandiant press release 2022-03-08; $23.00/share, ~$5.4B
- Microsoft / LinkedIn: Microsoft/LinkedIn merger proxy 2016; $196.00/share, ~$26.2B EV (Qatalyst advised LinkedIn)

Curated, cited precedent set (premiums-paid / multiple context). EV in $bn.

4. Structure & Financing

This is an all-cash deal, so there is no stock leg and Cisco issues no new shares — the entire ~$26.5B equity purchase price plus fees is funded with debt and balance-sheet cash. Per Cisco's disclosures, the company raised $22.0 billion of new senior notes in February 2024 across multiple tranches (a bridge facility was arranged and then terminated once the permanent financing was in place). Our model uses that $22.0B of new debt and funds the remainder — roughly $4.6B — from cash on hand so that sources equal uses exactly, with no residual plug. The blended cost of the new debt (~5.0%) is our assumption — the individual tranche coupons are not needed for the blended interest line — chosen as a defensible 2024 investment-grade-technology cost across the maturities. The sources & uses exhibit ties to the cent.

Sources & uses of funds

Sources (USD mm)		Uses (USD mm)	
New Debt	22,000	Equity Purchase Price	26,460
Cash On Hand	4,610	Refinance Target Debt	0
Stock Issued	0	Advisory Fees	100
Additional Cash	0	Financing Fees	50
Total sources	**26,610**	**Total uses**	**26,610**

Sources = uses (ties). Debt structure is disclosed; the blended cost of new debt and the cash-on-hand split are our assumptions (docs/ASSUMPTIONS.md). USD in millions.

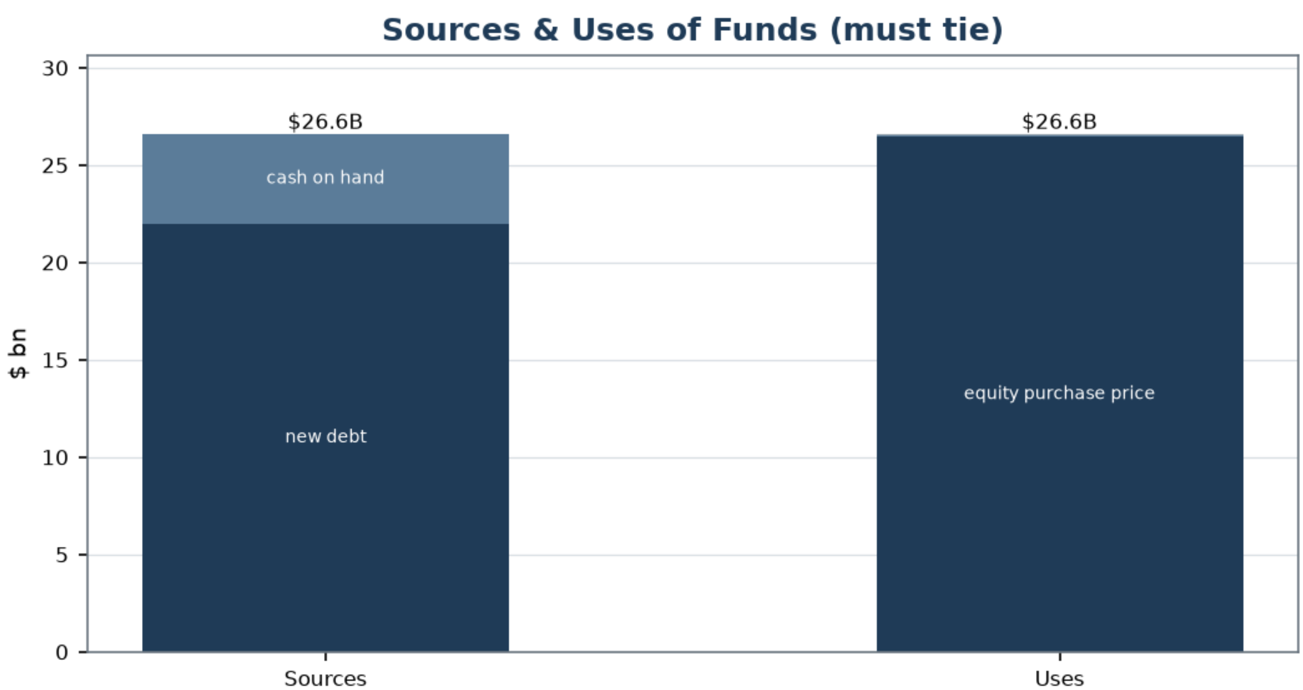

Figure 3. Funding mix — the two columns reach the same height (sources = uses). Source: deal engine.

5. Purchase Price Accounting

Purchase accounting rewrites the target's balance sheet at fair value, and Splunk is an instructive case: its reported book equity is negative (about −$110 million), and it carries ~$1.4 billion of existing goodwill that we write off before re-allocation. We step up identifiable intangibles by $9.0 billion (our assumption; 10-year life) — Splunk's ~$3.7B revenue base carries substantial developed-technology and customer-relationship intangibles — and book the deferred-tax liability the step-up creates at the 21% statutory rate. Goodwill is the plug that makes the entry balance: equity purchase price less the fair value of net identifiable assets. Because those identifiable net assets are negative, almost the entire price becomes intangibles plus goodwill, with goodwill landing near $20.9 billion — exactly what you expect when a high-growth software target with a thin balance sheet is bought at a premium. The consequence that drives the next section: the $9.0B step-up amortizes at roughly $0.9 billion per year, a real, non-cash charge to pro forma GAAP earnings.

Equity purchase price → goodwill walk

Purchase price allocation (USD mm)	
Equity purchase price	26,460
Target book equity	-111
Less: target existing goodwill (written off)	1,417
Identifiable net assets at book	-1,528
Plus: intangible step-up	9,000
Plus: PP&E step-up	0
Less: deferred-tax liability on step-ups	1,890
Net identifiable assets acquired	5,582
Goodwill (plug)	**20,878**
Incremental annual D&A from step-ups	900

Goodwill is the plug: equity purchase price less the fair value of net identifiable assets (book net assets + step-ups − DTL). Step-up sizing, useful life and DTL rate are our assumptions. USD in millions.

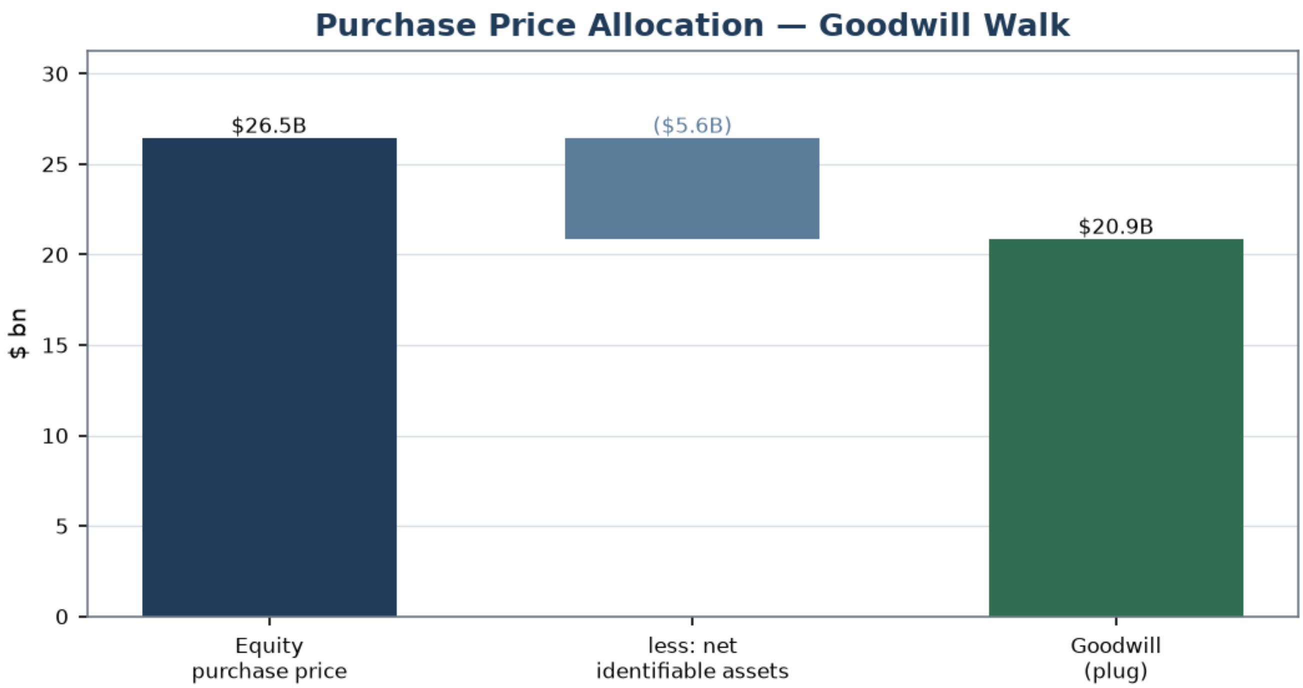

Figure 4. Goodwill waterfall from equity purchase price through net identifiable assets to the residual goodwill. Source: deal engine.

6. Accretion / Dilution Analysis

On a GAAP basis the deal is dilutive to Cisco EPS throughout the horizon — roughly −12% in Year 1 improving to about −3% by Year 5 in our base synergy case (worse in the conservative case) — and we own that plainly. Three forces drive it, and because this is an all-cash deal, none of them is offset by a lower share count: ~$0.9B/yr of step-up amortization, after-tax interest on the full $22B of new debt, and the drag of a target that is only modestly profitable early in our ramp. Why Year-1 dilution is not automatically a 'bad deal': first, the step-up amortization is a non-cash accounting charge, so on a cash-EPS (ex-amortization) basis the picture is less dilutive and is exactly how management and the Street judge software deals; second, dilution narrows every year as Splunk's revenue compounds and its margin inflects and as synergies phase in; and third, a growth-and-capability acquisition is underwritten by multi-year revenue and strategic value, not Year-1 EPS. The EPS-bridge and sensitivity exhibits decompose the walk and show how it moves with premium and synergies. This is the mirror image of a stock-financed deal for a profitable target — a useful contrast to keep in an interview.

EPS bridge — primary case

EPS bridge — Base (ours) (USD mm)	FY24	FY25	FY26	FY27	FY28
Acquirer standalone net income	12,945	13,616	14,277	14,895	15,534
Target standalone net income	70	250	460	704	992
Less: incremental interest (after-tax)	924	924	924	924	924
Less: foregone cash interest (after-tax)	155	155	155	155	155
Less: step-up D&A (after-tax)	756	756	756	756	756
Plus: synergies (after-tax)	168	252	336	336	336
Pro forma net income	11,347	12,283	13,238	14,100	15,028
Acquirer standalone shares	4,105.0M	4,105.0M	4,105.0M	4,105.0M	4,105.0M
New shares issued	0.0M	0.0M	0.0M	0.0M	0.0M
Pro forma diluted shares	4,105.0M	4,105.0M	4,105.0M	4,105.0M	4,105.0M
Acquirer standalone EPS	$3.15	$3.32	$3.48	$3.63	$3.78
Pro forma EPS	$2.76	$2.99	$3.22	$3.43	$3.66
Accretion / (dilution)	-12.3%	-9.8%	-7.3%	-5.3%	-3.3%

Accretion / (dilution) — both synergy cases

Accretion / (dilution) by year	FY24	FY25	FY26	FY27	FY28
Base (ours)	-12.3%	-9.8%	-7.3%	-5.3%	-3.3%
Conservative (ours)	-13.2%	-10.8%	-8.5%	-6.5%	-4.3%

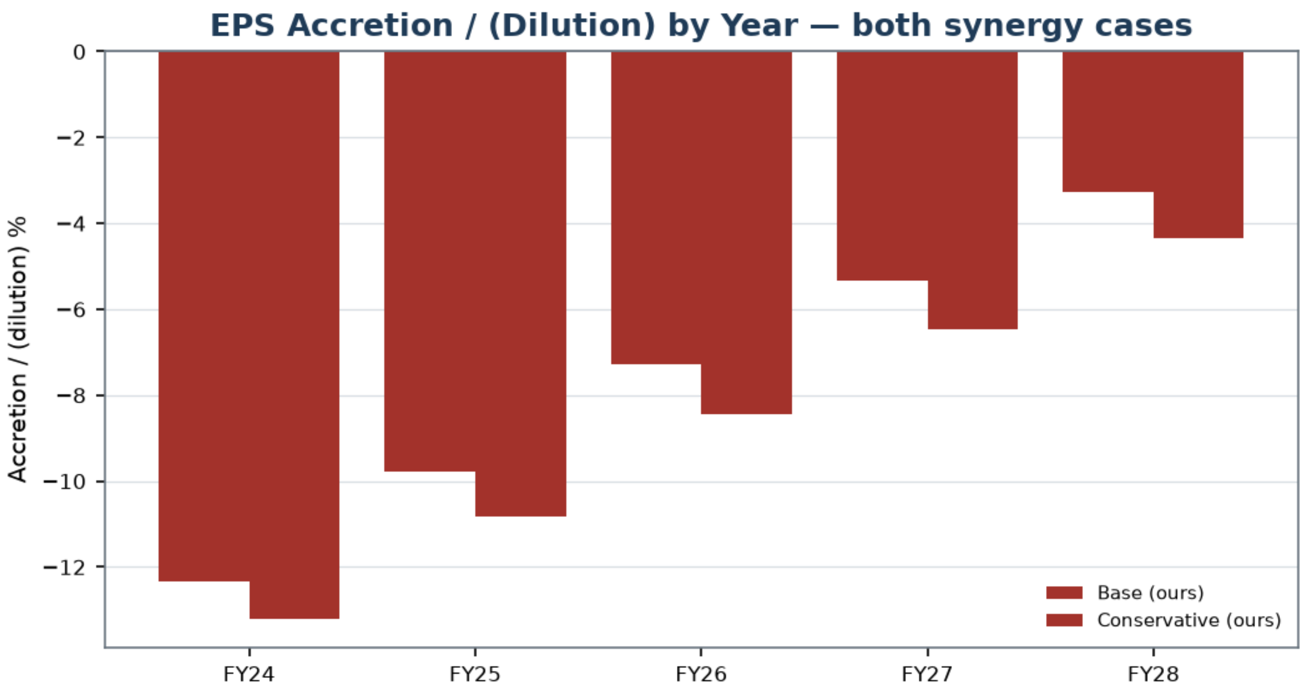

Figure 5. EPS accretion/(dilution) by year for both synergy cases; dilution narrows as the target grows and synergies phase in. Source: combination engine.

Sensitivity — premium × synergies

Year-1 A/(D): premium \ synergies	$0 bn	$2 bn	$4 bn	$6 bn	$8 bn
10.0%	-12.2%	0.7%	13.7%	26.7%	39.7%
20.0%	-12.9%	0.1%	13.1%	26.0%	39.0%
30.0%	-13.6%	-0.6%	12.4%	25.4%	38.4%
40.0%	-14.2%	-1.2%	11.7%	24.7%	37.7%
50.0%	-14.9%	-1.9%	11.1%	24.1%	37.1%

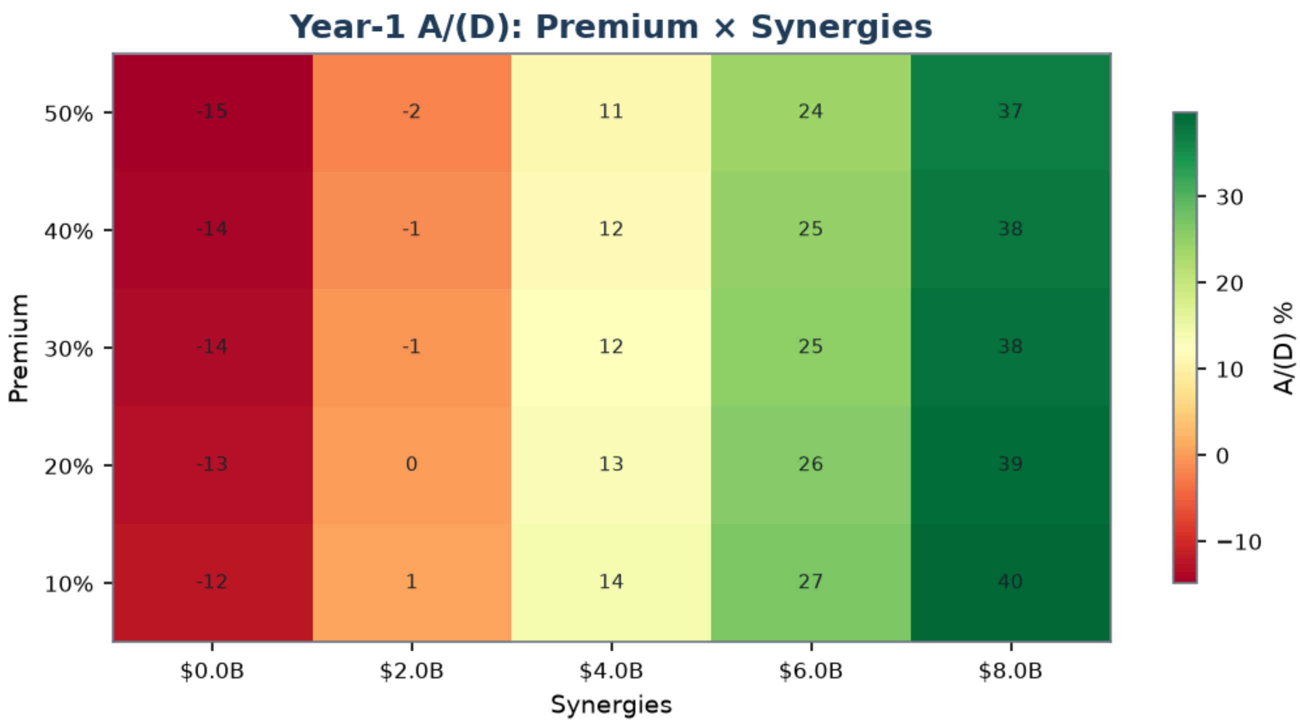

Figure 6. Year-1 accretion/(dilution) across premium and annual synergy run-rate — greener is more accretive. Source: scenarios engine.

7. Synergies

The proxy discusses the strategic rationale only qualitatively and discloses no quantified run-rate, so — unlike some deals — there is no management synergy figure to quote. Both cases here are therefore explicitly our assumptions, sized against Splunk's ~$3.9B FY2023 operating-cost base: a conservative $200M annual run-rate and a base $400M run-rate, each phased in over three years. The useful framing is breakeven: zeroing Year-1 EPS dilution would require on the order of $2.1 billion of annual synergies — several times either case and far beyond what cost synergies alone plausibly deliver for a target this size. Read correctly, that says the deal does not pay for itself on near-term cost savings; it is a revenue-and-strategy bet on security and observability, which is consistent with how the parties described it.

Synergy cases & breakeven

Synergy case	Basis	Run-rate (USD mm)	Year-1 realized after-tax (USD mm)
Base (ours)	our assumption	400	168
Conservative (ours)	our assumption	200	55
Breakeven synergies (Year-1 A/D = 0)	**our framing**	**2,101**	—

Both synergy cases are labeled assumptions (ours), phased in over the ramp; the proxy discloses no quantified run-rate. Breakeven synergies are the annual run-rate that would zero out Year-1 EPS dilution. USD in millions.

8. Risks

- Margin execution: our thesis depends on Splunk's operating margin inflecting from roughly breakeven toward mature-software levels over the projection; if that ramp stalls, the dilution persists longer and the standalone value falls short of the price.
- Integration: capability acquisitions live or die on integration — combining go-to-market motions and product roadmaps across networking, security, and observability without disrupting either franchise or Splunk's growth.
- Financing & rates: the full $22B of new debt raises leverage and interest expense; a higher-for-longer rate path makes an all-cash, debt-funded deal more dilutive (quantified in the sensitivity grid), with no share-count offset because no equity was issued.
- Regulatory: a large software combination drew antitrust review across jurisdictions; the deal ultimately closed, but cross-border merger review is a genuine timeline and deal-certainty risk.
- These are our risk read, not a prediction, and the memo passes no verdict on whether the deal should have occurred.

9. Fairness-Opinion Comparison (Appendix)

Splunk's board received fairness opinions from TWO financial advisors — Qatalyst Partners and Morgan Stanley — and we reproduce both. For each, we take the assumptions the advisor disclosed in the proxy (their discount-rate and perpetuity-growth bands for the DCF, their multiple ranges for the market analyses, and the management-case cash-flow stream) and run them through our own engine to see whether we reproduce the implied per-share ranges they published. Where the proxy discloses a reproducible assumption set, we reproduce the range: our Gordon-growth DCF overlaps Qatalyst's disclosed DCF range by about 25% and Morgan Stanley's by about 26% (both advisors' disclosed ranges are the union across several projection scenarios, so our single-stream reproduction is narrower and sits inside the upper part of each band), and our revenue-multiple reproduction overlaps Qatalyst's Selected-Companies range by about 63%. For the remaining market sub-analyses — the Selected/Precedent Transactions and Public Trading Comparables tables — the proxy publishes an implied range but not a single reproducible assumption set (each is itself a union across several NTM revenue, EBITDA, and LFCF multiple tables), so we report an honest 'not reproduced' rather than manufacture a fit. Reproducing two independent bankers' disclosed valuations from their own inputs — and being explicit about where the disclosure does and does not let us — is what a fairness opinion can and cannot tell you, made concrete.

Disclosed vs. reproduced implied ranges

Methodology	Disclosed implied range	Our reproduction	Overlap
Qatalyst Partners — Discounted Cash Flow	$100.95 – $196.81	$173.00 – $254.27	24.8%
Qatalyst Partners — Selected Companies	$90.78 – $204.55	$103.14 – $175.02	63.2%
Qatalyst Partners — Selected Transactions	$88.22 – $178.26	— – —	—
Morgan Stanley — Discounted Cash Flow	$100.00 – $212.00	$182.78 – $271.43	26.1%
Morgan Stanley — Public Trading Comparables	$87.00 – $191.00	— – —	—
Morgan Stanley — Precedent Transactions	$85.00 – $263.00	— – —	—

Mean overlap across methodologies: 38.0%. Deviations are explained in the prose above, never tuned away.

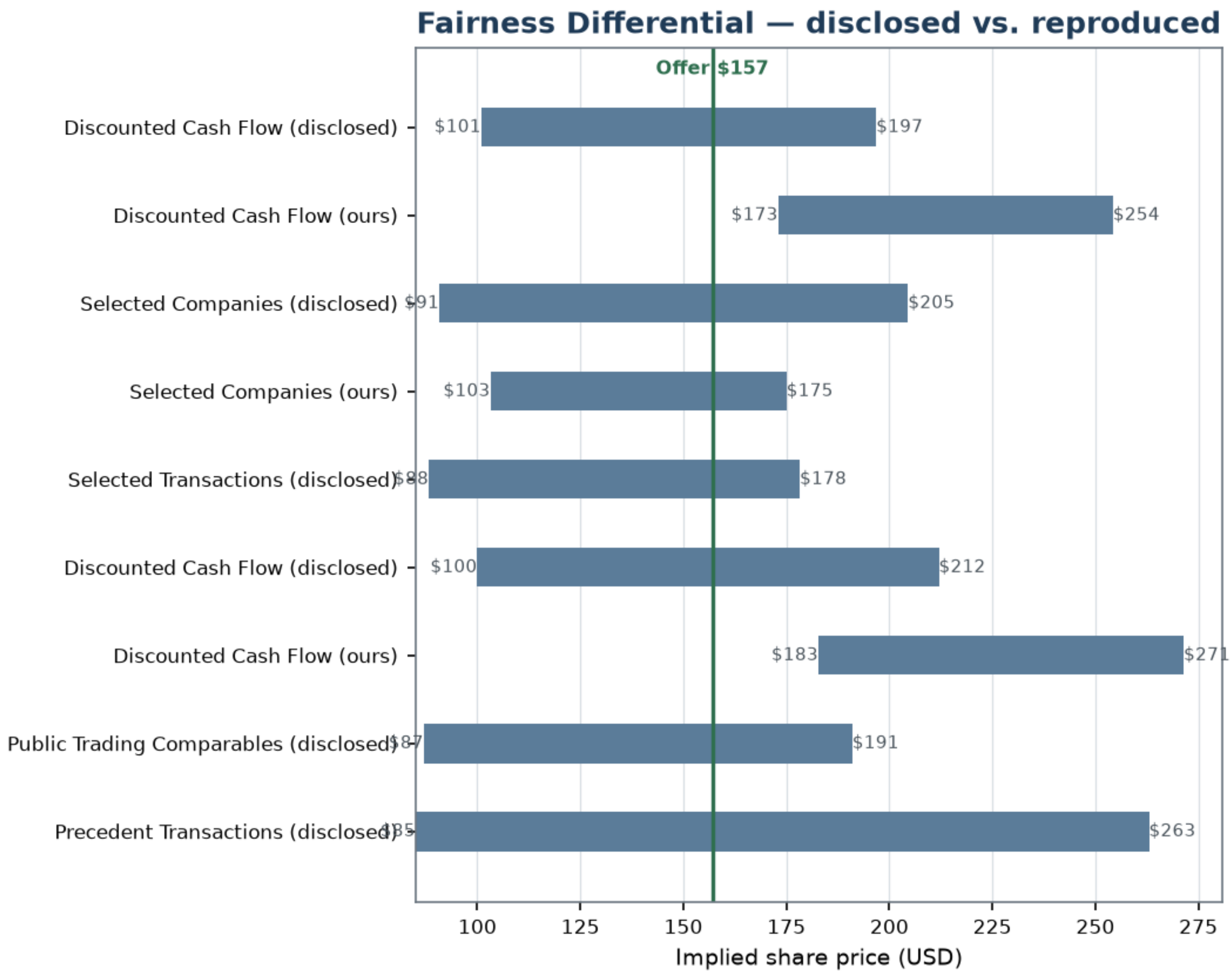

Figure 7. Per-methodology disclosed implied ranges vs. our reproduction from the advisor's own disclosed assumptions, against the offer. Overlap is quantified; deviations are explained, never tuned away. Source: fairness differential engine.

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